

Caterpillar Inc.

Recommendation **BUY** ★ ★ ★ ★ ★

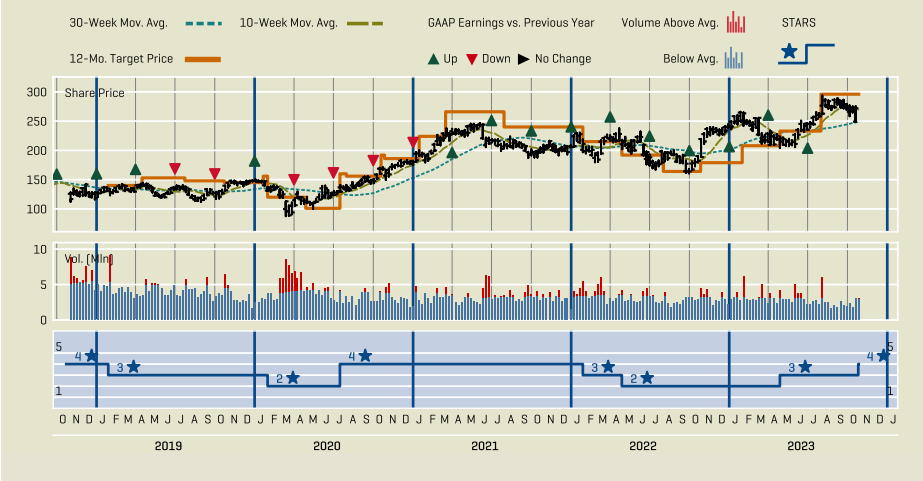
Price USD 238.56 [as of market close Oct 27, 2023] 12-Mo. Target Price USD 296.00 Report Currency USD Investment Style Large-Cap Value

Equity Analyst **Stewart Glickman, CFA**

GICS Sector Industrials **Summary** CAT is the world's largest producer of earth-moving equipment as well as a major **Sub-Industry** Construction Machinery and Heavy Transportation Equipmentmanufacturer of mining equipment, electric power generators, and petroleum engines.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence [SPGMI], Company Reports)					
52-Wk Range	USD 293.88 - 204.04	Oper.EPS2023E	USD 20.06	Market Capitalization[B]	USD 121.7
Trailing 12-Month EPS	USD 18.27	Oper.EPS2024E	USD 20.75	Yield [%]	2.18
Trailing 12-Month P/E	13.06	P/E on Oper.EPS2023E	11.89	Dividend Rate/Share	USD 5.2
USD 10K Invested 5 Yrs Ago	23,421.0	Common Shares Outstg.[M]	510.00	Trailing 12-Month Dividend	USD 6.2
				Beta	1.11
				3-yr Proj. EPS CAGR[%]	22
				SPGMI's Quality Ranking	B
				Institutional Ownership [%]	71.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Stewart Glickman, CFA** on Aug 08, 2023 12:18 AM ET, when the stock traded at **USD 278.40**.

Highlights

- ▶ The Highlights section of this Stock Report will be updated accordingly.
- ▶ The Investment Rationale/Risk section of this Stock Report will be updated shortly. For the latest News story on CAT from MarketScope, see aside.

Latest Analyst Research Notes

October 26, 2023
01:11 PM ET... CFRA Lifts View on Shares of Caterpillar Inc. to Buy from Hold [CAT 244.15****]:
Our 12-month target remains \$296, an implied 14.3x multiple of our revised 2024 EPS estimate. The applied multiple is a slight discount to CAT's five-year forward average of 15x and reflects some degree of caution around risk of an overseas slowdown. We raise our 2023 EPS estimate by \$1.39 to \$20.06 and 2024's by \$2.55 to \$20.75. CAT reports Q3 results on October 31, but shares are down 15% since the beginning of August and now offer a better risk-reward balance, in our view. We like prospects for non-residential construction in the U.S., helped by renewed Federal spending on infrastructure that is starting to be put to work, although higher interest rates could crimp spending levels overseas. Shares yield 2.1% and we estimate a 2024 dividend payout ratio of just 25%, which we see as defensible. CAT's net debt to trailing 12-month EBITDA ratio stands at just 2.1x as of June 2023, which we also see as relatively low. Additionally, EBITDA should improve in coming periods, in our view. / Stewart Glickman, CFA

Update: please see the analyst's latest research note in the research notes section

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects CAT's strong brand name and industry leading scale in many of its product categories. These benefits are partially offset by high cyclical risk, with construction and mining equipment demand periodically falling due to overcapacity and commodity price volatility, respectively. In addition, barriers to entry for CAT's markets are generally low, in our view, which has led to intense global competition. Many foreign competitors also have lower labor and energy costs than CAT's U.S.-based operations.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 16,496	E 18,111	E 16,573	E 18,324	E 69,504
2023	15,862	17,318	E 15,944	E 17,627	E 66,751
2022	13,589	14,247	14,994	16,597	59,427
2021	11,887	12,889	12,397	13,798	50,971
2020	10,635	9,997	9,881	11,235	41,748
2019	13,466	14,432	12,758	13,144	53,800

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 5.15	E 5.51	E 4.97	E 5.12	E 20.75
2023	4.91	5.55	E 4.79	E 4.81	E 20.06
2022	2.88	3.18	3.95	3.86	13.84
2021	2.87	2.60	2.66	2.69	10.81
2020	1.60	1.03	1.34	2.12	6.56
2019	2.94	2.83	2.66	2.63	11.06

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
1.3000	Oct 11	Oct 20	Oct 23	Nov 20 '23
1.3000	Jun 14	Jul 19	Jul 20	Aug 18 '23
1.2000	Apr 12	Apr 21	Apr 24	May 19 '23
1.2000	Dec 14	Jan 19	Jan 20	Feb 17 '23

Dividends have been paid since 1971. Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



Caterpillar Inc.

Business Summary May 08, 2023

CORPORATE OVERVIEW. Caterpillar [CAT] is the world’s largest producer of construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric locomotives. CAT’s distinctive yellow machines are in service in nearly every country in the world, with 2022 revenues of \$59.4 billion. About 47% of revenues were derived in North America in 2022, with the remaining 53% from other locations, notably Europe, Africa & Middle East [22%], Asia-Pacific [20%], and Latin America [11%]. The vast majority of sales [\$56.6 billion] came from machinery sales of one kind or another. The remaining \$2.9 billion in 2022 sales came from financial products [retail and wholesale financing for customers and dealers].

CAT’s primary segments are organized based on the end markets it sells into. Within the \$56.6 billion in machinery sales in 2022, leading end markets include Construction Industries [41% before corporate eliminations], Energy & Transportation [38%], Resource Industries [20%], and Other [1%].

CAT’s Construction Industries [CI] segment supports customers using machinery in infrastructure and building construction applications. The majority of the segment’s machine sales are made in the heavy construction, general construction, mining, quarry, and aggregates markets. The primary types of construction machines offered by CI are a variety of loaders and excavators. In response to customer demand and CAT’s expectations for ongoing growth in this industry, the company has been investing to increase its production of construction machinery, especially in the U.S., Brazil, and Asia.

The Resource Industries [RI] segment serves customers with machinery for mine and quarry applications, as well as forestry, paving, tunneling, industrial, and waste clients. The product portfolio in the RI segment includes a variety of mining shovels and drills, draglines, trucks, and underground mining equipment. RI equipment is used to extract and haul copper, iron ore, coal, oil sands, aggregates, gold, and other minerals and ores, as well as a variety of heavy construction applications. In addition to equipment, Resource Industries also develops and sells technology products and services to provide customers with fleet management systems, equipment management analytics, and autonomous machine capabilities.

The Energy and Transportation [E&T] segment primarily supports customers in oil and gas, power generation, marine, rail, and industrial applications, including selling engines used in other Caterpillar segments. The E&T product portfolio includes reciprocating engines, generator sets, integrated systems and solutions, turbines and turbine-related services, the remanufacturing of Caterpillar engines and components and remanufacturing services for other companies, diesel-electric locomotives for railroads, other rail-related products and services, and product support of on-highway job-specific trucks for North America [garbage, concrete, power line trucks, etc.].

COMPETITORS. In each of its operating segments, CAT competes with numerous large global competitors as well as a large number of smaller companies that compete in a limited range of products, applications, and regional markets. In construction and resource industry end markets, large global competitors include CASE, Deere, Epiroc, Hitachi, Doosan, Hyundai, Kubota, Liebherr, Sandvik, and Volvo. In energy & transportation end markets, key competitors include Cummins, Deutz, INNIO Jenbacher, Rolls-Rouce, and Wartsila.

In all markets, CAT competes based on product performance, customer service, quality, and price. Periodically, intense competition leads to price discounting in a particular industry or region. Such price discounting puts pressure on margins and can negatively impact operating profit. Outside the U.S., certain competitors enjoy competitive advantages inherent to operating in their home countries or regions.

PRIMARY BUSINESS DYNAMICS. Global economic growth, construction activity, commodity prices, government spending on infrastructure, and end users’ access to capital are key drivers of demand for CAT’s products. We regard CAT’s dealer network, which typically employs more people and has more assets than CAT itself, as a significant competitive advantage. In 2022, CAT had 43 dealers in the U.S. and 113 located in foreign markets. Also, given the size of its organization, we think that CAT benefits from certain economies of scale related to materials sourcing and other manufacturing efficiencies.

In 2022, manufacturing costs rose due to increased wages, material cost inflation [rising commodity prices and tariffs], and higher freight costs. In the early portion of 2023, such costs have begun to abate, but we would not rule out a sharp escalation in such costs again, particularly if oil and gas prices surge higher. CAT sources raw materials both domestically and internationally. The company uses a significant amount of steel to manufacture many of its products. Increases in the price of steel and other commodities used in production can significantly impact operations and CAT’s financial condition if the company is not able to offset these rising costs in some way.

FINANCIAL TRENDS. CAT’s total revenue in 2022 was \$59.4 billion, up 16% from 2021. Operating EPS in 2022 of \$13.84 was a 28% improvement over 2021, and was the highest level achieved since at least 2015. In much of the past decade, operating EPS had peaked in the \$11.00 per share range, so 2022 earnings reflect a marked improvement. We note that between 2017 and 2022, CAT’s diluted share count is down almost 14%, a CAGR of 2.9% over those five years. We think CAT has conservative debt levels, net debt to capital at just 13% as of March 2023.

Corporate information

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Officers	
VP & Chief Accounting Officer W. E. Schaupp	Chief Legal Officer S. M. Long
Chief Financial Officer A. J. Bonfield	CTO & Senior VP K. E. Weiss
Chairman of the Board & CEO D. J. Umpleby	

Board Members	
D. J. Umpleby	G. Johnson
D. L. Calhoun	J. C. Fish
D. L. Reed-Klages	J. F. Marks
D. M. Dickinson	R. Wilkins
D. W. MacLennan	S. C. Schwab

Domicile Delaware	Auditor PricewaterhouseCoopers LLP
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Founded
1925

Employees
109,100

Stockholders
N/A



Caterpillar Inc.

Quantitative Evaluations						
Fair Value Rank		1	2	3	4	5
		LOWEST		HIGHEST		
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).				
Fair Value Calculation		USD 242.28	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that CAT is undervalued by USD 3.72 or 1.56%			
Volatility		LOW		AVERAGE		HIGH
Technical Evaluation		BULLISH	Since June, 2023, the technical indicators for CAT have been BULLISH"			
Insider Activity		UNFAVORABLE		NEUTRAL		FAVORABLE

Expanded Ratio Analysis				
	2022	2021	2020	2019
Price/Sales	2.14	2.22	2.39	1.56
Price/EBITDA	10.68	10.67	13.74	7.84
Price/Pretax Income	14.49	13.77	24.91	10.69
P/E Ratio	17.31	19.12	27.75	13.35
Avg. Diluted Shares Outstg. [M]	530.40	548.50	548.60	567.50
Figures based on fiscal year-end price				
Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		3.33	3.24	54.81
Sales		16.59	3.37	5.50
Ratio Analysis (Annual Avg.)				
Net Margin [%]		11.28	10.40	10.75
% LT Debt to Capitalization		17.66	17.80	17.24
Return on Equity [%]		41.37	34.04	37.74

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	19.02	17.01	13.99	12.41	10.29	9.01	8.13	9.23	11.51	16.08
Free Cash Flow	9.81	8.69	7.74	7.56	6.16	5.69	4.64	5.78	7.58	8.90
Earnings	12.64	11.83	5.46	10.74	10.26	1.26	-0.11	4.18	3.90	5.75
Earnings [Normalized]	13.84	10.81	6.56	11.06	11.22	6.88	3.42	4.64	6.38	5.79
Dividends	4.71	4.36	4.12	3.95	3.36	3.11	3.08	3.01	2.70	2.32
Payout Ratio [%]	36.39	35.94	74.82	34.99	31.74	243.00	NM	69.94	66.07	29.32
Prices: High	245.05	246.69	183.81	148.93	173.24	158.65	97.40	93.57	111.46	99.70
Prices: Low	160.60	178.75	87.50	111.75	112.06	90.34	56.36	62.99	85.88	79.49
P/E Ratio: High	17.70	22.80	28.00	13.50	15.40	23.10	28.50	20.20	17.50	17.20
P/E Ratio: Low	11.60	16.50	13.30	10.10	10.00	13.10	16.50	13.60	13.50	13.70
Income Statement Analysis (Million USD)										
Revenue	59,427	50,971	41,748	53,800	54,722	45,462	38,537	47,011	55,184	55,656
Operating Income	9,756	8,274	4,835	8,113	8,336	5,576	1,884	4,659	3,766	5,810
Depreciation + Amortization	2,139	2,352	2,432	2,577	2,766	2,877	3,034	3,046	3,163	3,087
Interest Expense	443.00	488.00	514.00	421.00	404.00	531.00	503.00	507.00	484.00	578.00
Pretax Income	8,771	8,235	4,009	7,840	7,846	4,098	133.00	3,439	3,160	5,122
Effective Tax Rate	23.60	21.20	25.10	22.30	21.60	81.50	144.40	26.60	21.90	25.80
Net Income	6,705	6,489	2,998	6,093	6,147	754.00	NM	2,512	2,452	3,789
Net Income [Normalized]	6,149	5,078	2,690	4,925	5,032	3,113	885.10	2,545	2,204	3,265
Balance Sheet and Other Financial Data (Million USD)										
Cash	6,042	9,392	8,822	7,299	6,968	7,381	5,257	5,340	6,317	4,597
Current Assets	43,785	43,455	39,464	39,193	38,603	36,244	31,967	33,508	38,867	38,335
Total Assets	81,943	82,793	78,324	78,453	78,509	76,962	74,704	78,342	84,681	84,896
Current Liabilities	31,531	29,847	25,717	26,621	28,218	26,931	26,132	26,242	27,877	27,297
Long Term Debt	9,442	9,667	9,646	9,013	8,005	7,492	8,368	8,883	9,408	7,902
Total Capital	53,463	54,947	53,166	52,945	50,673	48,646	49,997	52,902	56,119	58,634
Capital Expenditures	2,599	2,472	2,115	2,669	2,916	2,336	2,928	3,261	3,379	4,446
Cash from Operations	7,766	7,198	6,327	6,912	6,558	5,706	5,639	6,699	8,057	10,191
Current Ratio	1.39	1.46	1.53	1.47	1.37	1.35	1.22	1.28	1.39	1.40
% Long Term Debt of Capitalization	17.70	17.60	18.10	17.00	15.80	15.40	16.70	16.80	16.80	13.50
% Net Income of Revenue	11.30	12.70	7.20	11.30	11.20	1.70	-0.20	5.30	4.40	6.80
% Return on Assets	7.40	6.42	3.85	6.46	6.70	4.60	1.54	3.57	2.78	4.18
% Return on Equity	41.40	40.70	20.00	42.50	44.20	5.60	-0.40	15.90	13.10	19.80

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Caterpillar Inc.**Sub-Industry Outlook**

Our fundamental outlook for the Construction Machinery & Heavy Trucks (CMHT) sub-industry for the next 12 months is neutral. We are positive on the heavy truck supply chain, with key positive drivers likely to be (1) continuation of the past year's favorable supply-demand imbalance for trucking equipment; and (2) high fuel prices and climate regulation incentivizing truck fleet modernization. However, we expect the sub-industry's sales of construction and mining equipment will struggle amid rising interest rates and lower commodity prices.

Goods shipment volumes soared during 2020-2021 as the pandemic and government response drove 2021 real consumer goods spending up 18% vs. 2019. Goods demand cooled in 2022 amid high inflation, rising interest rates, and more spending on services. But importantly for trucking firms and their suppliers, in 2022 and early 2023, goods volumes were trending flat, not down. As 2023 progresses, we see U.S. goods volumes resuming modest growth as strong job growth trends remain in place while inflation and interest rate headwinds abate.

On the supplier side of trucking, heavy truck producers (like many manufacturers) were expecting a prolonged downturn from the pandemic, rather than a boom. Accordingly, they cut staff and reduced supply chain orders during 2020-2021. When demand boomed instead, a shortage of trucking equipment ensued that has not yet ended. As of mid-2023, heavy-weight truck deliveries had not yet fully recovered to peak 2019 levels.

We expect heavy truck deliveries will recover toward pre-pandemic levels over the next year, given demand remains well above 2019's levels and supply chain conditions will likely steadily improve. We also anticipate a robust truck replacement cycle in 2023-2024, as much of the existing fleet was overworked during the pandemic shortages. Pricing trends for heavy trucks will likely also continue to materially outpace inflation, given the favorable supply-demand imbalance for producers.

Heavy truck producers will likely also benefit from high fuel prices and increasing climate regulation in 2023-2024. U.S. diesel prices averaged roughly \$3.05 per gallon in 2019, then a record \$4.99 in 2022. YTD through August 2023, diesel prices averaged \$4.16 per gallon, but with the Biden administration and other developed governments strongly pushing a phase-out of fossil fuels, we expect higher fuel prices and stricter emissions regulations are here to stay. This is incentivizing trucking firms more than ever to modernize fleets to reduce fuel consumption and emissions, providing a long-term tailwind for the heavy truck supply chain, in our view.

On the non-freight related side of the sub-industry (roughly half of the revenue), we expect improving demand, but possibly with moderating growth. U.S. nonresidential construction spending was up 16% in July 2023 versus the year-ago quarter. We think an anticipated pause in Fed tightening may be encouraging more activity. Debt financing provides most of the funding for construction, meaning the Fed's interest rate hikes sapped demand for new construction, in our view.

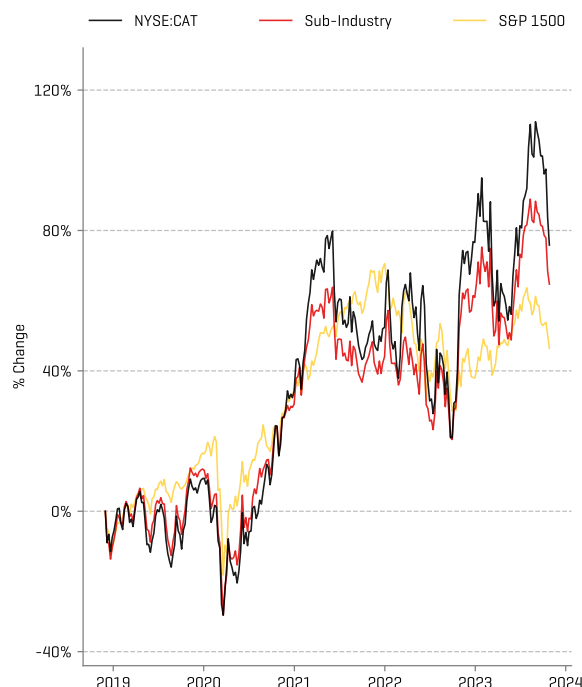
Year-to-date through August 31, the S&P Construction Machinery & Heavy Trucks Index is up 14.9% vs. a 16.6% gain for the S&P 1500.

/ Stewart Glickman, CFA

Industry Performance**GICS Sector: Industrials****Sub-Industry: Construction Machinery and Heavy Transportation Equipment**

Based on S&P 1500 Indexes

Five-Year market price performance through Oct 28, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Construction Machinery and Heavy Transportation Equipment Peer Group*: Construction Machinery and Heavy Transportation Equipment

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Caterpillar Inc.	CAT	NYSE	USD	242.43	123,674.0	-10.0	23.1	13.0	242.28	2.1	49.2	15.3
Alamo Group Inc.	ALG	NYSE	USD	161.99	1,946.0	-6.8	5.9	16.0	N/A	0.5	15.6	27.0
Allison Transmission Holdings, Inc.	ALSN	NYSE	USD	51.25	4,589.0	-12.5	31.3	7.0	N/A	1.8	66.2	67.7
Cummins Inc.	CMI	NYSE	USD	218.10	30,893.0	-4.8	-8.0	12.0	243.57	3.1	24.7	25.9
Federal Signal Corporation	FSS	NYSE	USD	57.91	3,532.0	-2.1	28.5	26.0	N/A	0.7	15.5	29.8
NFI Group Inc.	NFYF.F	OTCPK	USD	9.32	1,563.0	3.5	39.8	NM	N/A	1.7	-45.0	59.4
Oshkosh Corporation	OSK	NYSE	USD	89.86	5,868.0	-5.6	5.7	11.0	N/A	1.8	16.2	12.9
PACCAR Inc	PCAR	NasdaqGS	USD	83.91	43,893.0	0.1	35.6	10.0	101.51	1.3	28.4	N/A
Terex Corporation	TEX	NYSE	USD	46.88	3,159.0	-17.3	32.0	7.0	N/A	1.5	35.8	33.9
Trinity Industries, Inc.	TRN	NYSE	USD	20.65	1,690.0	-16.0	-18.0	19.0	N/A	5.0	9.0	11.0
Westinghouse Air Brake Technologies Corporation	WAB	NYSE	USD	104.51	18,724.0	-0.8	15.2	18.0	102.47	0.7	7.6	22.3

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Caterpillar Inc.

Previous Analyst Research Notes and Company News

August 01, 2023

05:05 PM ET... CFRA Keeps Hold Opinion on Shares of Caterpillar Inc. [CAT 288.65***]:

Our 12-month target price of \$296, up \$63, reflects a 16.3x multiple of projected 2024 EPS, above CAT's historical forward average. Our relatively improved multiple is a function of a better outlook on nonresidential construction, which looks quite positive in 2H 2023, especially as infrastructure spending and reshoring trends ramp up. We lift our 2023 EPS estimate by \$1.61 to \$18.67 and 2024's by \$1.58 to \$18.20. Q2 adjusted EPS of \$5.55 vs. \$3.18 beat the consensus view by \$0.97. Revenues grew by almost 22% in Q2, led by Energy & Transportation [+27%], but all three segments grew revenues by at least 19% Y/Y. We believe CAT's adjusted operating margin of 21.3% was a record high, with better pricing doing the lion's share of the work, but volumes were up as well. Our model credits CAT with significant margin expansion in 2023 and nearly maintaining that level in 2024. Shares yield 2.0%. / Stewart Glickman, CFA

April 28, 2023

08:42 AM ET... CFRA Lifts View on Shares of Caterpillar Inc. to Hold From Sell [CAT 214.33***]:

Our 12-month target price of \$233, raised \$25, reflects a 14x multiple applied to our revised '24 EPS estimate, slightly below CAT's 5-year historical forward average. We lift our '23 EPS estimate by \$2.25 to \$17.06, and similarly '24's by \$0.62 to \$16.62. Q1 EPS of \$4.91, vs. \$2.88, beat the consensus view by \$1.12. Q1 revenues rose 17% year-over-year, with 10%+ gains in each of CAT's three operating segments, and margins widened as well. CAT delivered both volume and pricing gains in Q1. Backlog, however, ended Q1 at \$30.4 billion, flat with year-end 2022. End market demand was strong in Q1, and CAT seems optimistic on the non-residential construction outlook in '23. However, elevated dealer inventories in some areas (such as excavators) may weigh on 2H '23 demand, and we are somewhat wary on the growth potential in non-residential construction given recent hikes to interest rates. / Stewart Glickman, CFA

January 31, 2023

12:40 PM ET... CFRA Maintains Sell Opinion on Shares of Caterpillar Inc. [CAT 250.00***]:

We lift our 12-month target price \$29 to \$208, 13x our 2024 EPS estimate (raised to \$16.00 from \$14.91; 2023 to \$14.81 from \$14.03). Q4 adjusted EPS of \$3.86 missed consensus by \$0.17. Q4 sales jumped 20% Y/Y, driven in large part by catching up on back orders accumulated during the supply chain shortages of 2021-2022, while organic end-market growth is much more moderate, in our view. We see strong headwinds for Construction (38% of sales) in the year ahead as higher interest rates dampen new building demand; and for Energy & Transportation (38%) as rail and trucking end markets are shifting into overcapacity, in our view. Overall, we sales growing 6% in 2023 with help from continued backorder reduction, then 4% growth in 2022. We maintain our Sell rating, as CAT remains a highly cyclical business with intense low-cost foreign competition, in our view, making it difficult to justify its current premium valuation of 16x forward EPS consensus vs. 13x before the pandemic, especially amid high risk of recession. / Colin Scarola

October 27, 2022

09:22 AM ET... CFRA Maintains Sell Opinion on Shares of Caterpillar Inc. [CAT 206.00***]:

We lift our 12-month target to \$179 from \$164, 12x our 2024 EPS estimate [started at \$14.91; 2023 raised to \$14.03 from \$12.62; 2022 raised to \$13.53 from \$11.21]. Our valuation multiple is below CAT's five-year forward P/E average of 13x as we think rising interest rates are a headwind for its key construction end-market, making earnings growth a bigger challenge than in the previous economic cycle. Q3 adjusted EPS of \$3.95 beat consensus by \$0.79. Q3 sales shot up 21% Y/Y, with big growth at Construction (38% of sales, +19% Y/Y), Resource (19%, +28%), and Energy & Transportation (38%, +22%). We think the large sales jump was from catching up on back orders accumulated during the past year's supply chain shortages, and that organic end-market growth is much more moderate. We expect growth to slow sharply in 2023-2024, with particularly high risk for construction equipment as rising rates dampen new building demand. Real U.S. nonresidential construction spending growth has been materially negative this year. / Colin Scarola

August 02, 2022

11:45 AM ET... CFRA Maintains Sell Opinion on Shares of Caterpillar Inc. [CAT

188.00**):

We drop our 12-month target to \$164 from \$192, 13x our 2023 EPS estimate [cut to \$12.62 from \$12.79; 2022 raised to \$11.21 from \$11.15]. Q2 adjusted EPS of \$3.18 beat consensus by \$0.16, while H1 free cash flow fell 51% Y/Y. Q2 sales grew 11% Y/Y as the global industrial economy saw a healthy recovery from the pandemic over the past year. But CAT's Q2 sales were still down 1% vs. pre-pandemic Q2 2019, and product volume is down much more as broad-based inflation has sharply lifted prices vs. 2019. Resources (19% of sales, +16% Y/Y) was CAT's strongest category in Q2, aided by high commodity prices spurring demand for extraction equipment. However, most CAT-relevant commodity prices have come down sharply since the Spring highs, which we think will contribute to a material slowdown in Resources sales growth through 2023. Nonetheless, we see healthy EPS growth for CAT in 2022-2023, aided by a robust stock buyback program, but think shares are overvalued at 27% above the 2019 level, while sales are still lower. / Colin Scarola

April 28, 2022

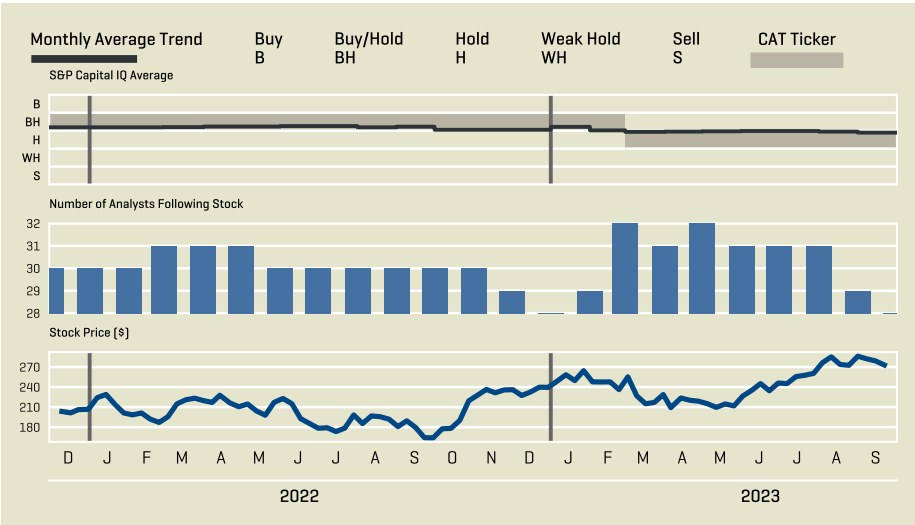
11:07 AM ET... CFRA Lowers View on Shares of Caterpillar Inc. to Sell from Hold [CAT 204.00**):

We cut our 12-mo. target to \$192 from \$215, 15x our 2023 EPS estimate [cut to \$12.79 from \$13.42; 2022 to \$11.15 from \$11.42]. Q1 adjusted EPS of \$2.88 beat consensus of \$2.60, but operating profit missed by 3% on lower-than-expected margin. Q1 sales grew 14% Y/Y but were up just 1% vs. pre-pandemic Q1 2019. The Y/Y growth was broad-based, with Construction (42% of sales, +12% Y/Y) benefitting from a wave of projects that were delayed by the pandemic and Resource (19%, +30% Y/Y) seeing a strong tailwind from accelerating oil & gas and mineral extraction spurred by the surge in commodity prices. Despite the strong top line, CAT's operating margin fell to 13.7% from 15.3% Y/Y, primarily due to labor and material pricing exceeding its ability to raise prices amid intense global competition, in our view. We see healthy earnings growth for CAT in 2022-2023 but think consensus 2023 revenue up 23% vs. 2021 and operating margin at 15.7% is too optimistic amid high inflation and slowing global growth. / Colin Scarola

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Caterpillar Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	8	29	8	8
Buy/Hold	3	11	3	4
Hold	12	43	12	14
Weak hold	2	7	2	0
Sell	3	11	3	3
No Opinion	0	0	1	2
Total	28	100	29	31

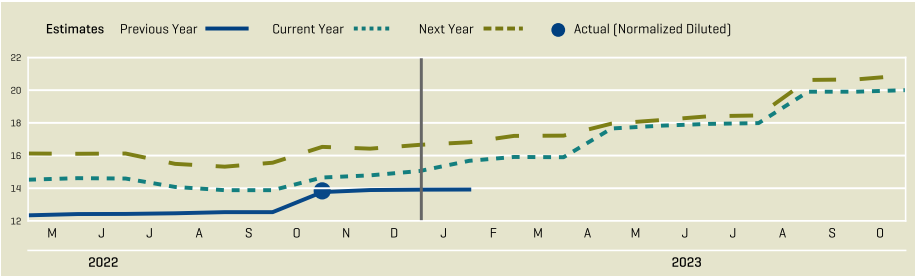
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that CAT will earn USD 20.01. For fiscal year 2024, analysts estimate that CAT's earnings per share will grow by 4.53% to USD 20.91.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	20.91	23.55	17.43	26	11.59
2023	20.01	20.86	18.46	26	12.12
2024 vs. 2023	▲ 5%	▲ 13%	▼ -6%	N/A%	▼ -4%
Q3'24	4.97	5.80	4.30	9	48.78
Q3'23	4.79	5.10	4.35	23	50.59
Q3'24 vs. Q3'23	▲ 4%	▲ 14%	▼ -1%	▼ -61%	▼ -4%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Caterpillar Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Caterpillar Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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